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Implementing strategic responses in the COVID-19 market crisis: a study of small and medium enterprises (SMEs) in India

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Abstract

Purpose – The COVID-19 pandemic presents unprecedented challenges for small and medium enterprises (SMEs) in emerging economies. This paper aims to examine how India's SMEs implement their strategic responses in this crisis.

Design/methodology/approach – The study uses dynamic capability theory to explore the strategic responses of SMEs. Strategy implementation theory helps to explain how they implement innovative practices for outcomes. A research model defines the COVID-19 challenges, strategic responses and performance outcomes. The study reports the findings of an initial pilot study of 75 firms and follow-up case study results in the context of COVID-19.

Findings – Firms choose their approaches according to their perceived market risks. Case studies illustrate that firms display diverse attitudes depending on their strategic direction, leadership vision and organizational culture. They achieve different outcomes by implementing specific styles of risk management practices (e.g. risk-averting, risk-taking and risk-thriving).

Research limitations/implications – Although the study context is Indian SMEs, the findings suggest meaningful lessons for other emerging economies in similar crisis events. The propositions may be extended to future research in broad contexts.

Practical implications – Even in the extraordinary COVID-19 market crisis, SMEs with limited resources display their strategic potential by recognizing their unique capabilities, translating them into effective actions and achieving desirable outcomes.

Social implications – In the COVID-19 pandemic, top leaders' mental attitude, strategic perspective and routine practices are contagious. Positive leadership motivates both internal and external stakeholders with an enormous level of collaboration.

Originality/value – This rare study of Indian SMEs provides a theoretical framework for designing a pilot survey and conducting a case study of multiple firms. Based on these findings, testable propositions are articulated for future research in diverse organizational and national contexts.

Keywords The COVID-19 pandemic, Dynamic capability theory, Strategy implementation theory, Challenges and responses, Small and medium-sized enterprise (SME), India, Research model, Survey instrument, Case study, Emerging economies

Paper type Research paper

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1. Introduction

The COVID-19 pandemic has posed special challenges to all firms in emerging economies. In particular, India's nationwide lockdown since March 2020 has had a massive impact on the micro, small and medium enterprises (MSMEs) sector. Major interruptions show in the form of job losses, factory closures, workforce shortages, increased bankruptcy and export order cancellations.

The MSME sector has received vibrant research attention (Raghuvanshi *et al.*, 2019; Raghuvanshi and Agrawal, 2020). The Government of India focuses on the MSME sector with a separate ministry that provides support through various initiatives and schemes (Ministry of MSME, 2021). Though the micro sector has 63,052,000 estimated enterprises, the employment figures show only 107,619,000 persons, which is about two persons per enterprise (Ministry of MSME, 2021; Misra, 2020). This study aims to examine the strategic responses of firms with adequate size. The research focus is on small and medium enterprises (SMEs). Accordingly, the research questions in this study are:

RQ1. What are the most pressing needs of SMEs in the COVID-19 pandemic context?

RQ2. How do they formulate and then implement their strategic responses?

Appropriate research methods were explored on these questions.

This paper is organized in the following sequence. After an overview of the pandemic, a literature review and a research framework describe the theoretical rationale of this study. In the research method section, the pilot study's goals, processes and outcomes are described. The case study involves six companies that represent different patterns of risk responsiveness in this extraordinary context. Based on the lessons and implications of these studies, a specific research model defines challenges, responses and outcomes. For future studies, propositions are postulated to consider the diverse responses of SMEs.

2. Exploring responses for innovative outcomes in a market crisis

Global crises disrupt the entire spectrum of the national economy, creating market crises and thus challenging firms to deploy their available capabilities (Cortez and Johnston, 2020; Grewal and Tansuhaj, 2001). Severe and sudden external shocks impact the business operations of SMEs on their products and services in the market. The COVID-19 pandemic provides both business constraining challenges and innovative opportunities (Morgan *et al.*, 2020). The impact of "social distancing" and "business lockdowns" is immediate on how firms manufacture physical products, especially "labour-intensive" firms, in the way of managing information flows and configuring their supply chains (Seetharaman, 2020).

From the perspective of SMEs, owners and senior management need to evaluate the relevant scope of these challenges that are manageable to their organizational contexts. In the long run, they consider ways to enhance their internal and network capabilities and the level of new investments to improve their competitive position in their market segments (Paunov, 2012; Sultan and Sultan, 2020)

Figure 1 is the conceptual framework for this research, and it shows how firms translate external challenges into internal responsive actions and outcomes. This has two elements. The first is how firm leadership senses external challenges (e.g. COVID-19 pandemic lockdowns and business disruptions) and devise sensible strategic practices.

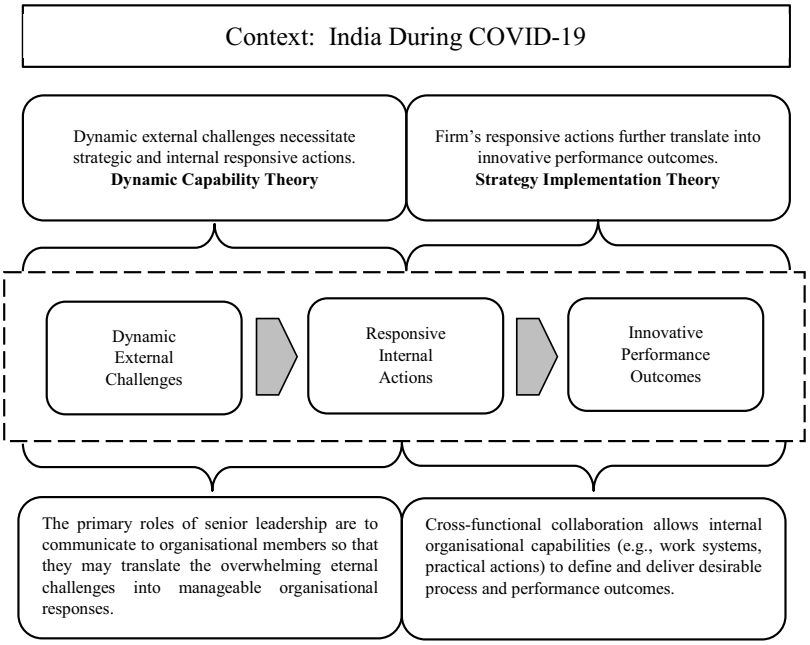

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Figure 1. Exploring responses for innovative outcomes in a market crisisSource: Author's own

2.1 Dynamic capability theory

Dynamic environmental challenges (with a great deal of uncertainty, risk elements) require firms to use their sensing and responsive capabilities (e.g. environmental scanning, real-time information-intensive and proactive communication). Senior leadership has to communicate to organizational members about strategic priorities that translate the overwhelming eternal challenges into manageable organizational responses (Voola and O'Cass, 2010; Najafi-Tavani *et al.*, 2016). Then, these firms implement their strategic goals using their internal firm capabilities (i.e. changeable, configurable and adaptable resources) to achieve competitive outcomes. For this purpose, cross-functional work allows internal organizational capabilities (e.g. work systems, practical actions) to collaborate and thus deliver desirable operational and financial performance outcomes.

Dynamic capability theory provides rational explanations for how firms respond to dynamic environmental changes with strategic responses (Gnizy *et al.*, 2014; Wang and Kim, 2017). The second one is to implement responsive strategic goals to achieve competitive outcomes.

Although quite unique, firms derive key lessons from previous crisis events (Hoberg and Alicke, 2020). The key is to understand the dynamic market reality and stay close to their current and potential customers. Even in severe economic downturns and recessions, successful firms observe changing customer behaviors and recognize the new spending patterns (Jacobides and Reeves, 2020). In response to external challenges, these SMEs design, develop and deploy their responses in strategic, tactical, and operational levels, corresponding to their respective business contexts. In the case of crisis events (e.g. the

COVID-19 pandemic in particular), firms adopt their general risk management practices and adapt to real-time risk management practices. They feel a sense of tremendous ambiguity during these times, but at the same time, they explore calm, composed and convicted behavior so that they lead any business scenarios.

2.2 Strategy implementation theory

In general, senior leadership's primary role is to communicate crucial issues related to complex external challenges to their organizational members. In the COVID-19 context, ambidextrous leadership prioritizes the safety of their employees, colleagues, and customers, accepting supply chain disruptions as manageable routines and keeping their business running around the clock (Rosing *et al.*, 2011). In such an organizational environment, employees translate specific challenges into manageable goals, make strategic changes and achieve innovative outcomes (Tushman *et al.*, 2015; Zuraik and Kelly, 2019).

Strategy implementation theory explains how firms implement their strategic goals in their operational processes to achieve desirable performance outcomes (Barrick *et al.*, 2015; Hong *et al.*, 2019; Singh and Hong, 2020). Certainly, SMEs are overwhelmed by the magnitude of external and internal challenges with their limited resources. Pursuing opportunities, entrepreneurial SMEs design, develop and deploy strategic, tactical and operational responses in their respective business contexts (Chen *et al.*, 2020). They experience a tremendous level of ambiguity (e.g. the scope of pandemic impacts and their duration), but at the same time, they accept unmanageable challenges as constraints and focus on problems they could take effective and responsive actions (Gunessee and Subramanian, 2020).

Cross-functional collaboration within SMEs allows internal organizational capabilities (e.g. work systems, practical actions) to define and achieve innovation outcomes (Oluwafemi *et al.*, 2020). Establishing the famous proverb "necessity is the mother of all inventions", the responses to the COVID-19 pandemic crisis are made. Undeniably the pandemic has transformed many SMEs into digital media platforms discarding their outdated traditional practices (Garzoni *et al.*, 2020). Survival imperative and technology platforms (e.g. marketing innovation and management information systems) help respond to increasing customer demand and lead to the outburst of innovative customer value creation (Wang *et al.*, 2020). This study observes how leaders of SMEs detect business opportunities in changing business environments and turn them into a competitive advantage (Rothwell, 2018; Shujahat *et al.*, 2019).

3. Research method

Considering the period of complete lockdowns and the recovery pattern, the growth projection of SMEs is mostly negative (Sahoo and Ashwani, 2020). Growth can be worse with extended lockdowns. Even the surviving firms may experience a slower recovery before they get to their new normal (Dun and Bradstreet, 2021). A pilot study is planned to collect relevant data from selected SMEs in India.

3.1 Pilot study method

The survey questionnaire consists of the following sections: Research participant's consent for participation (1–3), general questions (4–9), the COVID-19 related issues (10–15), growth strategies (16–34), business life history (35–46) and contact details (47–50). The survey was conducted in two phases, from 17 April 2020 to 13 May 2020 and from 22 June 2020 to 20 July 2020. Survey participants were to meet the following criteria: At least 21 years old and have been running the business for at least three years or one of the family members

involved in the business run by any family members/a senior management personnel employed for more than three years. Research participants were contacted through an email from the research investigators.

3.2 Pilot study results

Research participants (n = 75) in this study were the Indian small and medium enterprises (SMEs). Among the participants, 35% (n = 26) identified as founders and the remainder (65%) are mostly senior management (e.g. director of marketing or operations). In total, 84% (n = 63) were from firms with fewer than 100 employees, and only 16% (n = 12) had more than 100 employees. In terms of business type, 56% were from family businesses (n = 57), 11% from proprietary (n = 8) and 8% from private limited (n = 6) and 5% from partnership (5%).

Figure 2 shows that 52% were established between 1981 and 2000 (n = 39), 16% between 2001 and 2010 (n = 12), 15% between 1961 and 1980 (n = 11), 11% between 2011 and 2020 (n = 8) and 7% before 1960 (n = 5).

Figure 3 shows that out of the 48 responses of the second survey, the vast majority (92%) responded that their businesses were affected by the COVID-19 pandemic either moderately (n = 18) or highly (n = 9) or totally (n = 17).

Figure 4 summarizes innovative responses (n = 48) during the first three months of the COVID-19 pandemic. The participants could choose more than one option. The responses suggest that these SMEs temporarily stopped their capital expenditure plans, focused on products/services development, implemented work from home/flexible scheduling, online promotion and door to door delivery service. Other initiatives included offering discounts/free experiences for the customers and offered employee training and education.

4. Case study of selected firms

The purpose of the pilot study was to examine the impact of COVID-19 on Indian SMEs and their immediate responses. Further, follow-up case studies involved selected firms for additional insights.

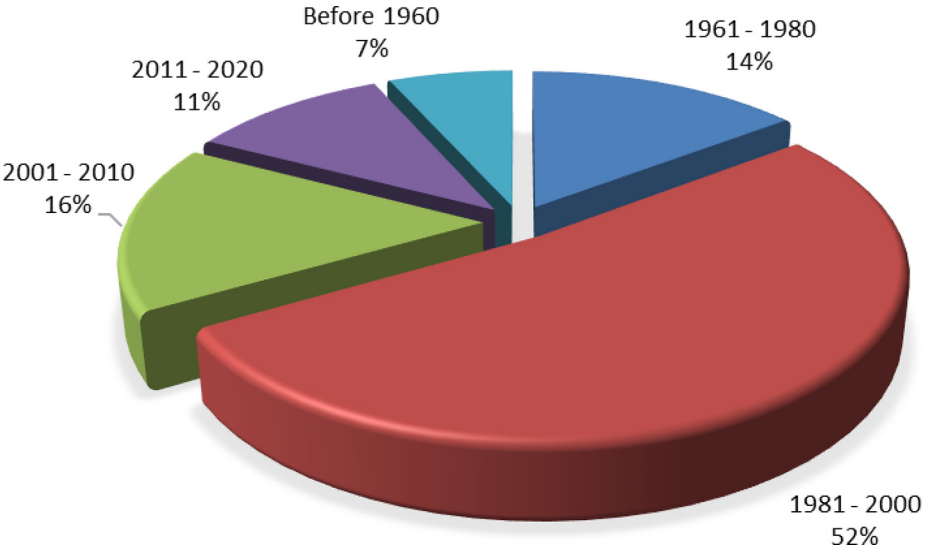
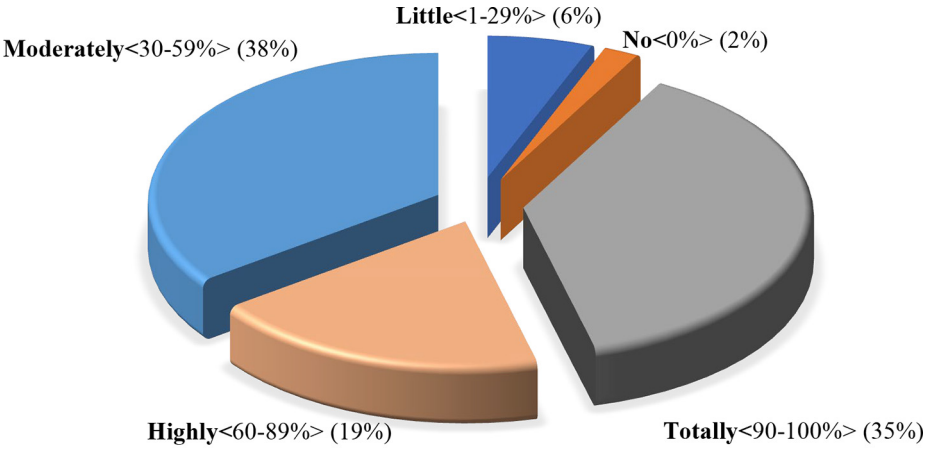


Figure 2. Business establishment year (based on *n* = 75)



Note: Response % based on the initial focus survey $n = 48$

Figure 3.
COVID-19 Impact: *<% Business Processes and Sales affected >*

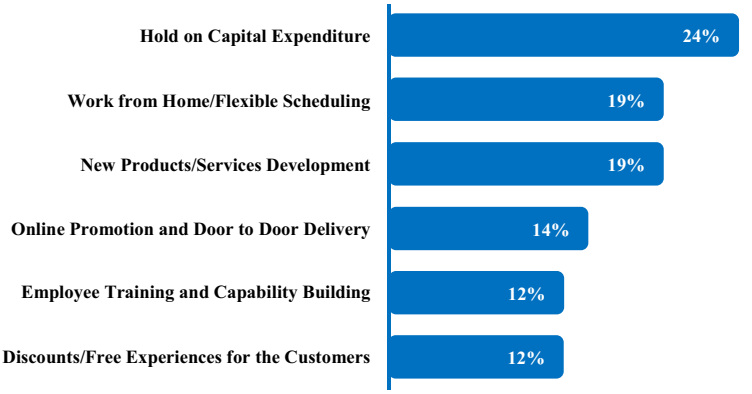


Figure 4.
Specific innovative responses to COVID-19 (based on $n = 48$)

4.1 Case selection criteria and field interviews

This case study employed field interviews with owners and senior managers of small and medium enterprises. Initially, an interest inquiry was sent to invite firms to participate in this research. Among those that responded to the initial survey, six firms were selected based on diversity of industry, availability and willingness to participate in this study. These firms represent healthcare (e.g. HealthCo), service operations (i.e. VinduCo), manufacturing (e.g. HorninCo, CarpCo, FoundCo) and construction (e.g. ConstCo). These SMEs have an employee size ranging from a minimum of 100 numbers to 3000 plus numbers. For these firms, structured interview questions were sent in advance. Actual interviews were conducted through virtual mode after obtaining permission for video and audio recording.

4.2 Summary of field interview findings

Table 1 is a summary of field interviews. Senior executives (e.g. CEOs, managing directors) participated and shared their experiences in the different impacts of COVID-19 on their businesses. Each firm's responses are briefly described here.

Table 1. Summary of interview participants

Name of company	Business type, employee size	Market scope (Regional/National/ International), Supplier/Customer Characteristics	Strategic direction (Survival, Sustaining, Surpassing), Mission, Vision and Long-Term Goals	Operational focus (Cost-based/ Differentiation), Performance Differentiators, Future Prospects
SupplyCo	Family run Group with 10 business units, 15 locations, 300 employees	Regional: Regional market (Greater Mangalore area, Neighbouring states), Own warehouses, Good relationships with vendors and suppliers; competitors are customers too	Survival: Market demand, Human resources, Pioneers in UPVC, use Family brand name	Simplify and Scale Back: Focus on core business, maintaining existing customer relationship
HealthCo	3rd Generation Family run business. 100 bedded hospital with 300 employees	Regional: Super specialty hospital, Govt projects not profitable, decrease in number of patients visiting hospital	Survival: Fear of patients, Human resource, political pressure, develop sense of trust and ensure safety to all	Simplify and Scale Back: Accreditation of NABH, hire good doctors on contracts and visiting basis, floating shares to raise the funds, and collaborating with Big hospitals too
HorninCo	Group company in automobile; OEM manufacturing; Pioneers in Horn manufacturing Diversified verticals in other areas of engineering division	International: Mobilizing people is difficult; employee restrictions, subcontracting, focus on medical and healthcare sectors, credit period reduced from 45 days to 30 days	Sustaining: Human resources, Sub contractors, Export supply chain impact, Marketing activities	Specialize and Scale Up: Hostel facility to key employees, enhance virtual communication, work from home initiatives to certain key departments
CarpCo	Oldest manufacturers and exporters of handmade Carpets, 3rd generation family business with 300 Employees and many contractors	International: Traditional way of manufacturing, home and cottage industry, export-oriented business, faces challenges from imports of raw materials.	Sustaining: Human resource, Interaction with buyers, new designs and colours, generate new orders; work from home for staff and designers	Specialize and Scale Up: Getting into online business, learnt design software, a new line of products is being developed; Employee welfare at their best!

(*continued*)

Table 1.

Name of company	Business type, employee size	Market scope (Regional/National/ International), Supplier/Customer Characteristics	Strategic direction (Survival, Sustaining, Surpassing), Mission, Vision and Long-Term Goals	Operational focus (Cost-based/ Differentiation), Performance Differentiators, Future Prospects
Vindhya	14 years old Business process services company with 1600 employees, 5 delivery centers	International: Very contemporary, education and finance sectors, 24/7 service, agile and flexible in operations	Surpassing: Work from Home infrastructure, acceptance levels are high, patience and perseverance, look for skill sets in specially abled people	Systemize and Synchronize: Proper training, pre-recorded and personalized training, personalized talks beyond work, life transformation, never wait for industry to come to. . .venture out yourself and take risk
FoundCo	Foundry and Manufacturing Co with Rs 350 Crore Turnover, Over 350 employees	International: Orange category industry, concentrating on Non-auto sector, soft moulding methods and automation; inclusion newer material in products	Surpassing: Human resources, Market pull, requires strong marketing team, search for break-through projects, better international visibility	Systemize and Synchronize: 3D technology and software-based manufacturing, automation is the key, venture out online marketing to boost sales; employee welfare schemes; diversify in business

Source: Author's Own

SupplyCo and HealthCo: SupplyCo is a building material supplier. HealthCo offers healthcare services through medical professionals (e.g. doctors, nurses, therapists and lab services). These two firms are common in that they were experiencing setbacks through COVID-19. SupplyCo was facing problems in their production and sales of UPVC doors and windows. HealthCo had a low turnout of patients in the case of regular hospital services. The firms simplified their organizational routines and implemented operational changes to scale up their production, sales and services. It was to focus on the immediate demands of their customers. SupplyCo emphasized good communication and network with their regular vendors and material suppliers to accommodate customers' requests for on-time delivery and installation of UPVC doors and windows. HealthCo, on the other hand, placed itself in National Accreditation Board for Hospitals and Healthcare (NABH) accreditation to develop a sense of trust and ensure safety to all. This, in turn, would empower itself into delivering quality hospital services and could attract speciality doctors on a contract basis for serving the patients in their hospital premises. Hence, this firm is classified in survival mode.

HorninCo and CarpCo: HorninCo is an automotive supplier of horns and cleaning equipment. CarpCo is a carpet manufacturer that exports specialized carpets outside of India. These two firms have adapted to the changing market scenario. They focused their business operations on specializing their products and services through internal design engineers and external specialists and additional investment in advanced technology. In response to the turbulent market, they diversified their product lines and ventured into newer business areas with more innovative products and services. In this way, they scaled up and sustained their business.

VinduCo and FoundCo: VinduCo is a business process outsourcing company that specializes in data entry, call center operations and web-accessibility services. FoundCo is a diversified manufacturer with foundry and casting products for different industries. VinduCo quickly synchronized its functions by benchmarking the best service practices (e.g. heavy investment in remote technology for all employees working at home, real-time communications between management and employees and additional training programs). FoundCo made a quick transition to the digital transformation (e.g. improve design data sharing, upgrade their website, apply telemarketing infrastructure, real-time connectivity to customers and suppliers). Such swift initiatives of these firms made them outshine the expectations of their competitors and their valued customers. Through these pandemic experiences, these two firms made a massive improvement in their business processes and made necessary organizational culture changes.

4.3 Lessons from case study

Several lessons learnt from the cases mentioned above are elucidated below. The aspects of how the SMEs in India responded with executable outcomes to the prevailing business challenges during the COVID-19 lockdown period are presented.

First, leadership makes an enormous difference during a crisis. Leadership communication is crucial in initiating and implementing organizational changes (Argenti, 2020). During a business crisis, outstanding firms emphasize "connection" over "correction" with the workforce (Hamrin, 2016; Kaul *et al.*, 2020). SMEs also used available digital and social media platforms (e.g. Zoom, WebEx, Tweet). The leadership provided a regular channel of communication through which employees could openly report – even bad news – the situations and discuss realistic options (Edmondson, 2020). To enhance their engagement in digital communication, leaders also expanded their direct communications with their customers, suppliers and community leaders (Butterfield, 2020; Tiago and Veríssimo, 2014; Mungila Hillemane, 2020).

Second, define and deliver outcomes with rapid learning. During the six months of the pandemic period from the lockdown in March 2020, the responsive internal actions led them to cut down on non-essential areas of production and time-consuming processes. Thus, providing a way for them to adopt lean production systems and high-performance work practices (Jeong and Shin, 2019). Two specific management behaviors were used – worker's capability development (coaching and teaching) and empowerment (autonomy and participation in developing their own job standards) with the team and organizational learning practices (Camuffo *et al.*, 2017; Edmondson *et al.*, 2019).

Table 2 summarizes the after-effects of the responses for the SMEs in India. They can be classified as Focus, Adapt and Expand during the COVID-19 pandemic business lockdown.

Response type	Mental images	Business structure	Business strategy/ Policy	Business performance
Focus	Stay hopeful that the market crisis is over soon. Defensive posture; Follow leaders: "Do what you can with what you have"	Downsize operations: Salary cut, Limited services, Layoff of employees Cost cutting measures. Start on=line marketing	Stay with core business, Downsize, Defensive posture, Competitor benchmarking Try to get lessons from their past trials	Essential orders from key segments of existing customers Cost competitiveness. Declining sales and revenues
Adapt	Assume that the market crisis may be more than a short-term phenomenon; "Keep cool; Keep your friends; Keep communicating"	Controlled operations: Provide infrastructure support to work from home, services not limited, no layoffs Cost cutting plus revenue enhancement plans (e.g., expand existing digital marketing) Revise value propositions for existing customers	Implemented contemporary business practices: sub-contracting, computer-aided designs etc. Observe industry trends and adopt new practices	Regular orders from existing customers and new orders from existing and new customers Keep inventory performance with substitutions. Maintain regular revenue streams
Expand	Assume that a crisis is once in a while and competitiveness is an everyday matter. "This too will pass" Engage with cross-functional teams internal and external stakeholders (e.g., customers, suppliers and opinion leaders) Build firm reputation beyond the market crisis	Top management stays visible in times of crisis periods both in the eyes of employees and external stakeholders. Competitive operations: Communicate the budget reality; keep highly skilled and specially abled employees, embark online business opportunities etc. Revise business model Respond to crisis needs but prepare for the post-crisis market context	More investment for technology adoption (digital infrastructure, online marketing etc.), Test and try with new business opportunities beyond the same industry Early realization, Employee capability training/ enhancement	Regular orders Plus New orders of emerging/new customers Expand product and service offerings. Build new customer and supplier network

Source: Author's Own

Table 2. Types, business structure, strategy/ policy and performance

The excerpts from the focused interview held with the business leaders have been used to classify accordingly. The crucial differences lie in the mental models of top management.

Focus group mostly follows leaders through their competitive benchmarking. They do what they can through cost-cutting measures and downsizing efforts. Their priority is to keep their customers and define their existing business segments.

Adapt group recognizes quickly that this market crisis may not end soon. Therefore, they take a long-term posture. Senior management adopts a "resilience perspective" by keeping their cool, engaging their friends (e.g. customers and suppliers) and communicating with internal and external stakeholders (Chen and Bonanno, 2020). They re-examine their current business model and revise their value propositions to their customers. They aim to improve their cost flows by restricting and searching for new revenue sources by adopting innovative initiatives (e.g. improving their digital marketing).

Expand group looks beyond the crisis event. Like experienced chess players, they respond to the current challenges, prepare for a post-crisis context and build their business reputation. They use their slack resources to keep their employees and dare to make new investments for innovative market initiatives. The results of all these three groups are not immediately evident. However, like farmers reaping what they sow, these firms show diverse response patterns and response outcomes even in a short period of six months to one year.

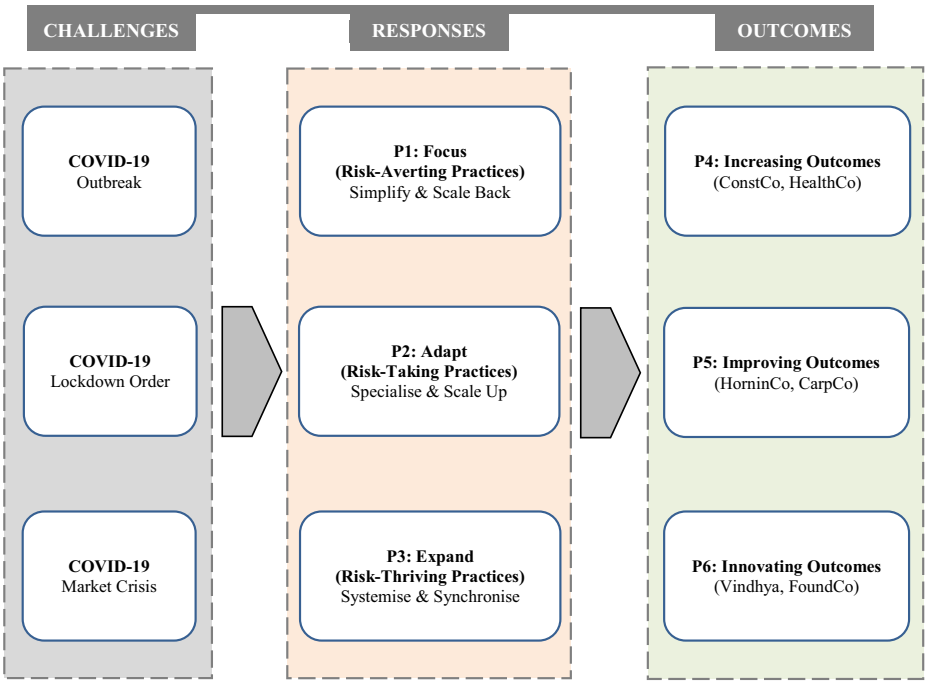
5. Proposition development

In this section, building on the findings of the pilot survey and lessons from case studies, the way to move forward this research beyond India in the COVID-19 context is discussed. SMEs in India ponder upon the fact that there is so much to learn from this pandemic crisis. Leaders in these firms show different learning patterns from crisis experiences and adopt strategic and operational practices that fit their organizational and market contexts (Pisoni *et al.*, 2018). A comprehensive understanding of barriers to recovery can lead to the development of policies that help prevent delays in the recovery process and result in resiliency (Rouhanizadeh, 2020; Farazmand, 2007). Recognizing different crisis response patterns, this research model describes how SMEs face challenges and define responses and outcomes. This research model illustrates the business activities of SMEs in India during the pandemic crisis. The research model (Figure 5 and Table 2) comprises three verticals – challenges, responses and outcomes. Challenges are related to the COVID-19 in the outbreak, lockdown order and subsequent market crisis.

Responses are three different patterns as Focus, Adapt and Expand. This is based on strategic literature on focus (Quinn *et al.*, 1990; Stratman, 2007; McDowell *et al.*, 2016; Wang *et al.*, 2020). *Focus Group* firms tend to choose problematic searches and readjust their marketing strategies to keep their existing business and focus on the current user groups. *Adapt Group* firms are likely to maximize their comprehensive learnings and mobilize cross-functional responses (Kiss and Barr, 2015; Kshirsagar *et al.*, 2020). Expand Group firms enlarge their territories into pandemic-related products or services by exhibiting flexibility, innovativeness and competitiveness (Barreto, 2012; Souder *et al.*, 2012; Wang *et al.*, 2021).

5.1 Crisis response practices

As firms experienced extraordinary disruptions beyond their normal control (more than 60% of sales decline), most of the SMEs in India were ignorant of the outbreak of the COVID-19 pandemic. As these SMEs face the COVID-19 pandemic, they do not adequately influence the ironic toolset that risk management offers to prepare for and alleviate the resulting uncertainty. They never expected that the COVID-19 pandemic would jeopardize



Source: Author's own

Figure 5.
Challenges, responses and outcomesSource: Author's own

their businesses in India. This was a shock that led them to an unprecedented business crisis. They could not meet the crisis with the core corresponding management responses: risk management, robust decision-making and resilience (Oehmen *et al.*, 2020). Hence, they decided to stay focused on their core revenue-generating business activities. So, they simplify and scale back their existing products and services. Thus, the following proposition is postulated:

P1. Firms that choose risk-averting practices are more likely to focus and thus choose to simplify and scale back their organizational processes.

As firms experience large disruptions beyond their normal control (under 40% sales decline), some of the Indian SMEs had anticipated the lockdown in the light of the global business scenario. They were aware of the cropping problems that would arise in the Indian context. Hence, they started looking for adaptive ways to smoothly function their regular business (Marques-Quinteiro *et al.*, 2019). They adopted optimum approaches matching their business capability. So, they specialize and sell. Thus, the following proposition is postulated:

P2. Firms that choose risk-taking practices are more likely to adapt and thus specialize and scale up their organizational processes.

As firms experience relatively small disruptions (under 10%), very few of the SMEs in India were the early detectors of the market crisis caused by the lockdown order. They anticipated

the global business shock in advance and converted the challenges into disruptive business opportunities with transformative business restructuring within their organizations (Hong *et al.*, 2019). These firms had good leadership who could strategize efficient business solutions, which would provide surpassing business growth. In this circumstance, the leaders with a good analytical construct recognize the innovative processes that strategic managers can reliably accomplish. They seldom agree on common ways of thinking. They are very innovative in their approach to adapt and use these business opportunities (Gavetti, 2012). Hence, they expanded their businesses, systemizing and synchronizing their organizational processes. Thus, the following proposition is postulated:

P3. Firms that choose risk-thriving practices are more likely to expand and thus choose to systemize and synchronize their organizational processes.

5.2 Crisis response outcomes

Outcomes are determined by responses (specific actions) to challenges (external crisis events). Responses are based on cumulative capabilities of leadership, resources, experiences, knowledge, longevity and expertise. Responses can be categorized into three types:

(1) Focus: risk-averting practices;

(2) Adapt: risk-taking practices; and

(3) Expand: risk-thriving practices.

Outcomes do not necessarily correspond to response actions. Simply using/making certain responses does not mean they will get desirable results. This is mainly about probability aspects, sowing and reaping effects. Those who regard crisis as opportunity sow big and reap big. Those who are afraid of crisis withdraw and sow little and reap little. Survivors are those SMEs where the leadership has an emotional connection with employees through empathetic communication, which leads them to build good interpersonal employer–employee relationships (Mainiero and Gibson, 2003; Swensen *et al.*, 2016). The risk-averting business leaders motivate their employees to accomplish the tasks by appropriate delegation. Thus, the following proposition is postulated:

P4. Firms that choose risk-averting practices are more likely to achieve increasing outcomes than those that choose either risk-taking practices or risk-thriving practices.

The SMEs falling under this category were being compassionate to their employees and quick to bring technical and innovative solutions to their business problems caused by the pandemic crisis, demonstrating their agile leadership (Parker *et al.*, 2015). Their expertise paved the way for good decision making at the right time to sustain their businesses (Dirani *et al.*, 2020). Thus, the following proposition is postulated:

P5. Firms that choose risk-taking practices are more likely to achieve improving outcomes than those that choose risk-averting or risk-thriving practices.

Organizations may have better outcomes in operating the businesses on par with their competitors in the market. These business leaders tend to be compassionate to their employees, agile to adopt technical and innovative solutions and possess a great sense of commercial awareness. The transformative leadership exhibited by them respects the

governance requirements of its managers by representing a commitment to the welfare of all stakeholders and by practising it to enhance the long-term wealth creation for the organization (Caldwell *et al.*, 2012). Thus, the following proposition is postulated:

P6. Firms that choose risk-thriving practices are more likely to achieve innovative outcomes than those that choose risk-averting or risk-taking practices.

6. Concluding remarks

The COVID-19 pandemic has a huge adverse impact on small and medium enterprises (SMEs). This article has examined how India's small and medium enterprises (SMEs) implemented their strategic responses in such a market crisis.

After presenting a general research model (Figure 1), an initial pilot survey of SMEs on their challenges, business decisions and outcomes was conducted. The findings of this pilot survey are reported. Further additional case studies based on field interviews of executives of SMEs are conducted. The findings suggest that firms have to respond to sudden the COVID-19 outbreak, then to the government lockdown directive and subsequent market crisis. Firms have taken different approaches based on their business capabilities and managerial leadership patterns having different attitudes toward risks (i.e. very passive, assertive and proactive).

Since the full impact of COVID-19 has not yet been realized, it is unclear about the long-term outcomes. For future studies, six propositions characterizing three types of responses (i.e. risk-averting, risk-taking and risk-thriving practices) are postulated. It is posited that risk-averting practices are more likely to result in surviving outcomes, risk-taking practices in sustaining outcomes and risk-thriving practices in surpassing outcomes. Subsequent studies will develop more detailed benchmark instruments to test hypotheses that are developed further from these propositions.

Trials test the character of individuals and organizations. In the COVID-19 pandemic, top leaders' mental attitude, strategic perspective and routine practices are contagious and make huge differences. Both internal and external stakeholders take positive moves of their leaders with more willing collaboration than normal circumstances. The COVID-19 market crisis is certainly to have an enormous impact on the ways Indian SMEs operate and compete in the dynamic markets. The COVID-19 market crisis will sooner or later pass. Excellent firms focus on their responses to these challenges and thus change and evolve for the better, even in the post-pandemic world. Future studies may follow up on these firms and analyze the changing dynamics of Indian SMEs on a wider scale in parallel.

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Appendix

1. Survey questionnaire

Title: Overcoming challenges in COVID-19 pandemic: case of sustaining businesses in India

Demographic questions include the respondent's persona. Information (e.g. education, work position, experiences, firm size, type of business)

Sample questions include the following:

- How do you rate the customer satisfaction ratings of your firm?
- What is the current impact of COVID-19 on your firm?
- What is the most critical issue caused by COVID-19 in your firm?
- How do you practically respond to COVID-19? (Check all that apply)
- What are your specific innovative responses to COVID-19? (Check all that apply)
- What percentage of your employees work from home?
- What are the precautionary health safety measures you have undertaken for the on-site workforce?
- How do you feel about the current market environments?
- How do you think that the market is performing?
- What is your idea about the future of the market?
- How have you identified your business opportunities? (Check all that apply)
- Where do you think these opportunities exist?
- What are the supports you have received to engage these opportunities? (Check all that apply)
- What are the major challenges you have faced in the business? (Check all that apply)
- Where do you think these challenges exist?
- What are the supports you have received to deal with these challenges? (Check all that apply)
- How do you rate your business growth?
- What are your growth strategies?
- How do you build your business network?
- How would your customers rate the performance of your products/services?
- What are your customer relationship building strategies? (Check all that apply)
- What are the employee retention strategies you have practically implemented in your business? (Check all that apply)
- How do you rate the government policies/supports toward the family businesses/entrepreneurial firms?

All these questions have appropriate response options on a five-point scale.

2. Key structured interview questions

Only senior-level managers are selected and invited for an interview.

After confirmation of interviews, we provide structured interview questions (10–12) in advance.

Then, we conduct executive interviews. For accuracy, at least two interviewers participated.

With their permission, all interviews were recorded for transcription and confirming the details.

After incorporating their interviews in the manuscript, we check the accuracy with the executives that participated in the interviews.

- What areas of your business are the most affected by the COVID-19 pandemic?
- What and how does your company (or functional unit) change in this challenging environment?
- What remains constant (non-negotiable core)?
- How does your firm ensure the well-being and safety of the employees?
- Does your firm have well-coordinated and standardized communication systems?
- Has your firm implemented early warning systems?
- Is your business model sufficiently resilient to recover from the pandemic and manage future crises?
- How does your firm adapt your business model to reduce costs during the pandemic?
- What are the new opportunities you see from a medium- and long-term perspective despite the unprecedented crisis?

These executives also had time to ask us questions. They were very interested in knowing beyond their firms and industries. We respond to their questions for learning, engagements and discussions.

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